

purchase junk bonds surpassed its 1988 peak, issuers joyfully geared up to satisfy the frenzied demand. “Like carnival barkers opening their game booths to take advantage of an unexpected bus load of suckers,” said *The Elliott Wave Theorist* in July 1993, “issuers of new debt have flooded the market worldwide with nearly nonstop offerings for three years.” In October 1993, the dollar value of new junk bond issues reached an all-time one-month record of \$7.82 billion. For the entire year 1993, a record \$54.5 billion worth of new junk bonds were sold, an amount that was 70% higher than the amount issued in 1986, the preceding all-time record year. All this buying has produced an amazing statistic: Nearly half the value of all junk bonds that have come to market since 1980 when the modern market began was issued in 1992-1994. The number of issues set a new record as well, as you can see in Figure 15-3.

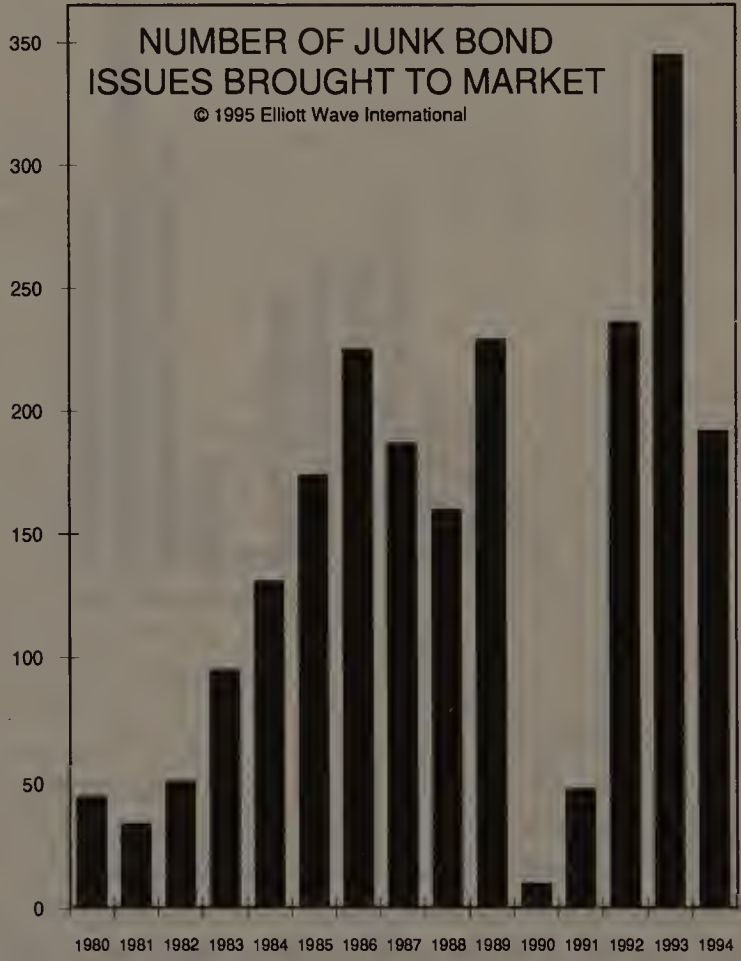


Figure 15-3